

5 Continent — Why \$3,510.60 becomes \$4,866.33

The headline: the two numbers are **not the same kind of figure**, so the gap is **not one overcharge**. \$3,510.60 is 5 Continent's **freight rate table only** (7 logistics lines). \$4,866.33 is the **all-in landed cost** (freight + customs + duties + fees). Comparing them directly mixes a freight subtotal with a full landed bill.

Side-by-side: what each number actually contains

Quote — freight rate table (7 lines)	USD	Invoice 1026-08 (15 lines)	USD
Inland in Brazil	837.00	Inland Freight in Brazil	1,012.17
Airport charges BRA	250.00	Airline Terminal Fee - Brazil SSA	345.00
Airline charges BRA	95.00	Palletizing	65.00
Air Freight (+300 kgs)	1,118.60	Storage - SSA + Saturday	112.19
Airline charges USA	200.00	Clearance - Export Customs BRA + SDA	414.59
Handling Fee USA	125.00	Air Freight Charges	1,241.00
Delivery to the door (3 pallets)	885.00	Airline Terminal Fee USA	200.00
		Air Freight Handling	125.00
		Inland Freight (US)	885.00
		Customs Clearance USA	150.00
		Additional Invoice Lines	40.00
		FDA Filing	100.00
		Customs Duties	128.53
		Duty Advance Fee	12.85
		Bank Fees	35.00
QUOTED (freight only)	3,510.60	INVOICED (all-in)	4,866.33

The quote quoted a **separate** "Customs clearance charges" section (US clearance, FDA, duties, bond, MPF, line fees) that is **not** part of the \$3,510.60. So \$3,510.60 is a **freight subtotal**, not a landed-cost quote.

The variance bridge: \$3,510.60 → \$4,866.33

Step	Delta	Running total
Quote — freight rate table		3,510.60

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Step	Delta	Running total
1. Freight overages (2 quoted lines billed above rate)	+297.57	3,808.17
2. Quoted customs/duty/fee items, now billed	+418.53	4,226.70
3. Wholly unquoted charges (5 items, no rate)	+639.63	4,866.33
Invoice total		4,866.33
Total difference	+1,355.73	

The three causes — clearly indicated

Cause 1 — \$297.57: OVERCHARGES on freight lines that WERE quoted

Line	Quoted	Billed	Over
Inland Freight Brazil	837.00	1,012.17	+175.17
Air Freight	1,118.60	1,241.00	+122.40
Subtotal			+297.57

→ **DISPUTE.** Billed *above the forwarder's own quoted rates*. Air freight is worst: invoice 365 kg @ 3.40 vs the carrier's own HAWB 349 kg @ 2.30 (= 802.70) and the quote's flat 1,118.60.

Cause 2 — \$418.53: quoted items simply NOT in the freight table

Item	Amount	Quoted?
US Customs Clearance	150.00	yes (customs section)
FDA Processing	100.00	yes (customs section)
Customs Duties	128.53	yes ("at cost")
Additional Invoice Lines	40.00	yes (\$5/line policy)
Subtotal	418.53	

→ **NOT an overcharge** — billed exactly as quoted. Looks like part of the increase only because the \$3,510.60 comparator excluded customs. One thing to check: "Duties at cost" (128.53) needs a breakdown.

Cause 3 — \$639.63: WHOLLY UNQUOTED charges

Item	Amount	Note
Palletizing	65.00	no quote rate
Storage - SSA + Saturday	112.19	no quote rate

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Item	Amount	Note
Export Customs BRA + SDA	414.59	quote said "agreed directly with Omega" → possible DUPLICATE
Duty Advance Fee	12.85	no quote rate
Bank Fees	35.00	no quote rate
Subtotal	639.63	

→ **DISPUTE** — no quoted rate for any of these; the \$414.59 export clearance may already have been paid to Omega.

One-line answer

Cause	Amount	Share of gap	Verdict
Quoted customs items (not in freight table)	418.53	31%	Legitimate — comparison artifact
Freight overages on quoted lines	297.57	22%	Dispute
Wholly unquoted charges	639.63	47%	Dispute (esp. 414.59 duplicate risk)
Total gap	1,355.73	100%	~937.20 (69%) genuinely contestable

So: **69% of the gap (\$937.20) is contestable** — \$297.57 of overcharges on quoted freight plus \$639.63 of never-quoted charges. The other **\$418.53 is a legitimate add**: the quote you are comparing against was freight-only, and these are quoted customs/duty/fee items billed as quoted.

Caveats

- Quote was priced for **3 pallets / 329 kg**; as-shipped was **2 pallets / 349 kg**. The air-freight rate is a flat "+300 kgs" bucket (weight change does not move it) — but note "Delivery to the door" (\$885) was quoted for 3 pallets and billed in full for 2.
- \$4,866.33 excludes any trading-company fee (quote premise: none).
- Air freight has three figures: quote 1,118.60 · carrier HAWB 802.70 · invoice 1,241.00.

Pay-to routing (TD Bank NA, acct 9246418811) is a money move — no payment without an explicit governor command.